

12 Jun 2026 05:00:00 ET | 21 pages

Advanced Micro Devices (AMD.O)

GPU Upside Not Fully Priced-In; Upgrade to Buy w/\$575 TP

CITI'S TAKE

While we have been constructive on the inflection in agentic AI led CPU demand and AMD to be the major beneficiary of it (see [note](#)), we now see AMD emerging as a legit second source in the GPU market with company poised to win lion's share at Meta. Most investors currently view AMD as a CPU stock with stock pricing in ~60% probability of AMD achieving >\$50B in GPU sales by 2028, in our view. Moreover, post Computex we lift our CPU 2030 TAM model to \$137B from prior \$132B and still expect AMD to be the key beneficiary of the CPU renaissance due to its performance leadership, greater core counts, X86 ISA, broader SKU offerings, and support for both multithreading and single threading. Our revised CY26/27/28 EPS estimates are 12%/13%/12% above Street and we upgrade AMD to Buy w/\$575 TP on updated SOTP analysis.

U/G to Buy — We have increased conviction in the company exceeding the >\$20 EPS goal by 2028. We raise our target price to \$575 from \$460 on growing AI business and server CPU tailwinds. We believe Meta will be a significantly larger customer of AMD's AI products, especially GPUs, than the street is expecting. We increase our AI sales estimates and now expect \$33 billion in 2027 (up 137% YoY) and \$50.8 billion in 2028 (up 54% YoY). We value AMD using updated SOTP analysis with data center GPU/CPU biz at \$281/\$204 (35/30x 2028 PE), client \$30 (15x), gaming \$2 (8x), embedded \$24 (20x), and net cash per share ~\$35.

Meta GPU Upside — We believe Meta will be a significantly larger customer of AMD's AI products, especially GPUs, than the street is expecting. We believe the use of custom MI450 GPUs is likely to provide Meta lower TCO vs merchant GPU products. Recall AMD announced a six-gigawatt, four year, 160M common stock warrant Meta deal for custom MI450 GPUs with first tranche of 1GW ramping in 2H26 and 2027. We estimate that each gigawatt translates to \$15 billion for AMD.

Updated CPU TAM Post Computex — We believe the CPU TAM expands from \$29.3 billion in 2025 to \$136.7 billion (previously \$131.5 billion) in 2030, or a 36% CAGR which is above AMD forecasted TAM of \$120 billion by 2030.

EPS (US\$)	Q1	Q2	Q3	Q4	FY	FC Cons	VA Cons
2025A	0.97A	0.48A	1.20A	1.53A	4.19A	4.17A	4.17A
2026E	1.38A	1.66E	2.28E	2.92E	8.26E	7.40E	7.35E
Previous	1.38A	1.66E	2.28E	2.92E	8.26E	na	na
2027E	2.99E	3.32E	3.91E	4.61E	14.84E	13.15E	12.75E
Previous	2.99E	3.08E	3.78E	4.55E	14.41E	na	na
2028E	4.59E	4.69E	5.10E	5.64E	20.02E	17.86E	16.88E
Previous	4.11E	4.15E	4.57E	4.94E	17.76E	na	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus. VA Cons: Visible Alpha Consensus.

Click [here](#) for Visible Alpha consensus data

Buy ↑ from Neutral

Price (11 Jun 26 16:00) US\$488.45

Target price US\$575.00↑

from US\$460.00

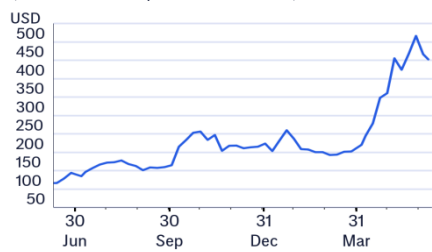
Expected share price return 17.7%

Expected dividend yield 0.0%

Expected total return 17.7%

Market Cap US\$796,467M

Price Performance (RIC: AMD.O, BB: AMD US)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

AMD.O: Fiscal year end 31-Dec						Price: US\$488.45; TP: US\$575.00; Market Cap: US\$796,467m; Recomm: Buy					
Profit & Loss (US\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	25,785	34,639	52,053	79,500	102,500	PE (x)	na	na	59.1	32.9	24.4
Cost of sales	-12,048	-16,500	-23,578	-36,130	-45,705	PB (x)	13.7	12.6	10.4	7.9	6.1
Gross profit	13,737	18,139	28,475	43,370	56,795	EV/EBITDA (x)	na	na	55.5	29.4	20.7
Gross Margin (%)	53.3	52.4	54.7	54.6	55.4	FCF yield (%)	0.6	0.8	1.2	2.5	3.6
EBITDA (Adj)	7,212	6,880	14,161	26,362	36,139	Dividend yield (%)	na	na	na	na	na
EBITDA Margin (Adj) (%)	28.0	19.9	27.2	33.2	35.3	Payout ratio (%)	0	0	0	0	0
Depreciation	-2,481	-750	-1,305	-1,423	-1,586	ROE (%)	7.1	8.7	16.2	24.4	25.2
Amortisation	0	0	0	0	0	Cashflow (US\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	4,731	6,130	12,856	24,939	34,553	EBITDA	6,979	6,654	14,135	26,362	36,139
EBIT Margin (Adj) (%)	18.3	17.7	24.7	31.4	33.7	Working capital	-2,098	-533	-2,822	-3,268	-2,155
Net interest	92	81	243	240	240	Other	452	743	-707	-1,917	-2,953
Associates	0	0	0	0	0	Operating cashflow	5,333	6,864	10,606	21,177	31,031
Non-Op/Except/Other Adj	0	0	0	0	0	Capex	-254	-222	-413	-470	-560
Pre-tax profit	4,823	6,211	13,099	25,179	34,793	Net acq/disposals	-9	-2,597	0	0	0
Tax	-810	-1,018	-1,766	-3,273	-4,523	Other	-456	1,278	0	0	0
Extraord./Min.Int./Pref.div.	33	26	6	0	0	Investing cashflow	-719	-1,541	-413	-470	-560
Reported net profit	4,046	5,219	11,339	21,906	30,270	Dividends paid	0	0	0	0	0
Net Margin (%)	15.7	15.1	21.8	27.6	29.5	Financing cashflow	-2,062	-328	0	0	0
Core NPAT	5,453	6,857	13,811	25,682	35,138	Net change in cash	2,552	4,995	10,193	20,707	30,471
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	5,079	6,642	10,193	20,707	30,471
Reported EPS (\$)	2.47	3.19	6.78	12.66	17.25						
Core EPS (\$)	3.33	4.19	8.26	14.84	20.02						
DPS (\$)	0	0	0	0	0						
CFPS (\$)	3.26	4.19	6.35	12.24	17.68						
FCFPS (\$)	3.10	4.06	6.10	11.97	17.36						
BVPS (\$)	35.56	38.61	47.11	61.54	79.82						
Wtd avg ord shares (m)	1,619	1,632	1,632	1,666	1,725						
Wtd avg diluted shares (m)	1,637	1,637	1,671	1,730	1,755						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	13.7	34.3	50.3	52.7	28.9						
EBIT (Adj) (%)	36.2	29.6	109.7	94.0	38.6						
Core NPAT (%)	26.3	25.7	101.4	85.9	36.8						
Core EPS (%)	25.3	25.7	97.2	79.6	34.9						
Balance Sheet (US\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	5,132	10,552	16,744	34,877	64,954						
Accounts receivables	6,192	6,315	10,171	14,559	17,372						
Inventory	5,734	7,920	13,260	18,381	21,397						
Net fixed & other tangibles	6,408	8,148	9,518	9,685	10,149						
Goodwill & intangibles	43,769	41,831	41,498	41,498	41,498						
Financial & other assets	1,991	2,160	2,201	2,201	2,201						
Total assets	69,226	76,926	93,393	121,201	157,571						
Accounts payable	1,990	2,929	5,196	7,323	8,554						
Short-term debt	0	874	874	874	874						
Long-term debt	1,721	2,348	2,350	2,350	2,350						
Provisions & other liab	7,947	7,776	8,109	8,109	8,109						
Total liabilities	11,658	13,927	16,529	18,656	19,887						
Shareholders' equity	57,568	62,999	76,863	102,545	137,684						
Minority interests	0	0	0	0	0						
Total equity	57,568	62,999	76,863	102,545	137,684						
Net debt (Adj)	-3,411	-7,330	-13,520	-31,653	-61,730						
Net debt to equity (Adj) (%)	-5.9	-11.6	-17.6	-30.9	-44.8						

For definitions of the items in this table, please click [here](#).

Upgrade AMD to Buy w/\$575 TP

We upgrade AMD to Buy from Neutral and raise our target price to \$575 from \$460 on increased conviction in AMD's GPU business and server CPU tailwinds. We believe Meta will be a significantly larger customer of AMD's AI products, especially GPUs, than the street is expecting. We value AMD using SOTP analysis with data center GPU/CPU biz at \$281/\$204 (35/30x 2028 PE), client \$30 (15x), gaming \$2 (8x), embedded \$24 (20x), and net cash per share ~\$35.

Figure 1. Raising C27 EPS by 3%, Raising C28 EPS by 13%

AMD	Old	New		Old	New	
FY end: December	2027E	2027E	Delta	2028E	2028E	Delta
Total Revenue	78,000.0	79,500.0	2%	97,500.0	102,500.0	5%
% Change Y/Y	49.8%	52.7%		25.0%	28.9%	
% Change Q/Q						
3-year Seasonality	32.8%	32.8%		44.8%	45.8%	
5-year Seasonality	27.6%	27.6%		28.8%	29.4%	
Gross Margins	54.6%	54.6%	0 bps	55.5%	55.4%	-11 bps
SG&A	5,570.0	5,903.5	6.0%	6,825.0	7,035.0	3.1%
% Total Revenue	7.1%	7.4%	4.0%	7.0%	6.9%	-2.0%
R&D	12,825.0	12,527.5	-2.3%	17,040.0	15,207.0	-10.8%
% Total Revenue	16.4%	15.8%	-4.2%	17.5%	14.8%	-15.1%
Operating Income	24160.0	24939.0	3.2%	30270.0	34553.0	14.1%
% Total Revenue	31.0%	31.4%	1%	31.0%	33.7%	9%
Tax Rate	13.0%	13.0%	0 bps	13.0%	13.0%	0 bps
Net Income	21,228.0	21,905.7	3%	26,543.7	30,269.9	14%
% Total Revenue	27.2%	27.6%	34 bps	27.2%	29.5%	231 bps
Diluted Shares	1,730.0	1,730.0	0%	1,755.0	1,755.0	0%
Proforma EPS - ex-options	\$14.41	\$14.84	3%	\$17.76	\$20.02	13%
% Change Y/Y	74.4%	79.6%		23.3%	34.9%	
% Change Q/Q						

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Source: Citi Research

Figure 2. AMD - SOTP Valuation Analysis

SOTP	2023	2024	2025	2026E	2027E	2028E	P/E
Data Center GPU	\$0	\$19	\$6	\$54	\$148	\$281	35
Data Center CPU	\$20	\$36	\$50	\$118	\$167	\$204	30
Client	\$0	\$7	\$19	\$20	\$24	\$30	15
Gaming	\$4	\$1	\$2	\$1	\$2	\$2	8
Embedded (Xilinx)	\$27	\$15	\$13	\$17	\$21	\$24	20
Net Cash Per Share	\$2	\$2	\$4	\$8	\$18	\$35	
Total						\$575	

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Source: Citi Research, Company Reports, Mercury Research

We are increasing our AI sales estimates and now expect \$33 billion in 2027 (up 127% YoY) and \$50.8 billion in 2028 (up 54% YoY).

Figure 3. AMD AI Sales Estimates

	C24	C25	C26E	C27E	C28E
AMD AI Sales Estimate	\$5,080	\$6,655	\$14,523	\$33,000	\$50,796
YoY Growth	754%	31%	118%	127%	54%

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Source: Citi Research, Mercury Research

Updated CPU TAM Model Post Computex

A CPU, or a central processing unit, is a type of processor that functions as the “brains” of a system and is commonly found in servers, PCs, smartphones, and various IoT devices. The server CPU market has historically been one of the most competitive and profitable applications for CPUs. For example, Intel’s Data Center segment typically had operating margins north of 40% for most of the 2010’s. Server CPUs come in a variety of flavors, including different core counts, ISA’s (instruction set architecture), channel counts, and various other factors.

Prior to the explosion of agentic AI, a CPU was primarily limited to two main applications: 1.) traditional workflows and 2.) acting as the head node for AI applications. In a head node, the CPU merely does the “management” by sending the user request to the GPU and sending the output back to the user. In this context, the GPU is doing heavy lifting such as running matrix multiplications to train LLMs or doing the inferencing when you query a chatbot. The third new application for CPUs is agentic AI, and this new application has seen explosive growth within the past year as AI has moved from chatbot inferencing to agentic autonomous workflows like Claude Code. At Citi, we define agentic CPUs as those that are handling the orchestration, reasoning loops, data processing, and security components of autonomous AI agents. In Agentic AI, CPUs have become the new bottleneck as CPU-to-GPU ratios move from 1:8 in model training, to 1:4 in inferencing, to 1:1 or greater in agentic AI.

We believe AMD will be the primary beneficiary of the CPU renaissance due to their performance leadership, greater core counts, X86 ISA, broader SKU offerings, and support for both multithreading and single threading. In this framework, we compare the future offerings for Nvidia (Vera), AMD (Venice) and Intel (Diamond Rapids). We believe AMD’s Venice CPU will offer core counts between 8 and 256 cores, enabling AMD to support a variety of workloads while maintaining absolute performance leadership and supporting a variety of workloads. We believe Intel will have success as well, but we believe their Diamond Rapids CPU will trail AMD’s Venice as it doesn’t support multithreading, has fewer cores, and expect an overall performance gap versus Venice. Intel’s next generation CPU Coral Rapids will see a return to multithreading, but this product likely won’t be released until 2028. While we believe NVDA will be successful in reasoning server CPUs, Vera will feature a proprietary technology called spatial multithreading, Vera will have fewer cores (Vera has 88 cores, Venice has up to 256 cores, Diamond Rapids has up to 192 cores), and Vera will utilize the ARM ISA. One of the drawbacks of the ARM ISA is that it faces software incompatibility with legacy systems and requires porting to run models smoothly, however this drawback is getting diminished over time. Given Nvidia is fabless and has a set allocation of wafers from its foundry partners, we believe Nvidia will prioritize its GPU shipments over individual CPU shipments given their entrenched position in the GPU market.

We update our CPU model post Computex. We believe the CPU TAM expands from \$29.3 billion in 2025 to \$136.7 billion (previously \$131.5 billion) in 2030, or a 36% CAGR. We expect general purpose CPUs to grow at a 20% CAGR to \$51 billion in 2030, AI head nodes to grow at a 24% CAGR to \$24.4 billion in 2030, and agentic CPUs to grow at a 187% CAGR to \$61.3 billion in 2030. We model general purpose CPUs to represent 39% of the TAM in 2030, AI head nodes to represent 16% of the TAM in 2030, and agentic CPUs to represent 45% of the TAM by 2030. For

reference, ARM forecasted a TAM of \$100 billion by 2030, AMD forecasted a TAM of \$120 billion by 2030, and Nvidia forecasted a TAM of \$200 billion.

Figure 4. Citi CPU TAM Model (\$M)

TAM Estimates (\$M)	C25	C26E	C27E	C28E	C29E	C30E
General Purpose CPU	\$20,756	\$29,716	\$35,599	\$39,790	\$46,824	\$50,977
% of Total	71%	57%	50%	46%	42%	39%
YoY		42%	20%	13%	17%	9%
AI Headnodes	\$8,197	\$12,162	\$15,588	\$17,252	\$19,541	\$24,415
% of Total	28%	24%	22%	20%	17%	16%
YoY		48%	28%	11%	12%	10%
Agentic CPU Applications	\$313	\$10,079	\$19,154	\$29,244	\$46,449	\$61,309
% of Total	1%	19%	27%	34%	41%	45%
YoY		3086%	90%	54%	58%	29%
Total	\$29,266	\$51,957	\$70,341	\$86,286	\$112,815	\$136,700
YoY		76%	35%	24%	30%	18%

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Source: Citi Research, Mercury Research

With our updated model, we now model total server CPU units to grow from 29.2 million units in 2025 to 63.2 million units in 2030, or 17% CAGR (previously 16%). We believe Intel units could grow at 10% CAGR, AMD units could grow at a 25% CAGR (previously 24%), and ARM units could grow at a 25% CAGR (previously 24%).

Figure 5. Citi Server CPU Unit Model

Unit Model (M)	C25	C26E	C27E	C28E	C29E	C30E
CPU Units (M)	29,210	40,728	47,727	50,602	58,042	63,249
YoY	21%	39%	17%	6%	15%	9%
Intel	17,943	22,426	25,300	26,013	27,426	28,939
YoY	6%	25%	13%	3%	5%	6%
AMD	7,240	11,583	15,223	17,285	20,960	21,868
YoY	32%	60%	31%	14%	21%	4%
ARM/Others	4,027	6,719	7,204	7,304	9,655	12,442
YoY	127%	67%	7%	1%	32%	29%

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Source: Citi Research, Mercury Research

We adjust our 2030 share estimates with our updated model. By 2030, we now expect Intel to have 46% share (previously 47%), AMD to have 35% share (previously 34%), and ARM/Others to have 20% share (previously 19%). We are more optimistic about AMD's near-term share opportunity with its leading TCO and supply allocation, as well as confident in NVDA's Vera platform. We continue to expect AMD to be the primary beneficiary of the CPU renaissance, and Intel to be a secondary beneficiary given its manufacturing capacity and improving long-term roadmap.

Figure 6. Citi Server Market Share Forecast

Unit Market Share (%)	C25	C26E	C27E	C28E	C29E	C30E
Intel	61%	55%	53%	51%	47%	46%
YoY	-859 bps	-636 bps	-205 bps	-160 bps	-415 bps	-150 bps
AMD	25%	28%	32%	34%	36%	35%
YoY	214 bps	365 bps	346 bps	226 bps	195 bps	-154 bps
ARM/Others	14%	16%	15%	14%	17%	20%
YoY	645 bps	271 bps	-140 bps	-66 bps	220 bps	304 bps

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Source: Citi Research, Mercury Research

AMD to Get Lion's Share of GPUs at Meta

We believe Meta will be a significantly larger customer of AMD's AI products, especially GPUs, than the street is expecting. We believe the use of custom MI450 GPUs is likely to provide Meta lower TCO vs Nvidia's merchant products. Recall AMD announced a six-gigawatt, four year, 160M common stock warrant Meta deal for custom MI450 GPUs with first tranche of 1GW ramping in 2H26 and 2027. While Meta has always been a meaningful AMD customer or "hundreds of megawatts" already and a proponent of open systems, we believe Meta is accelerating its internal compute efforts via the likely use of Rivos IP, a startup it acquired in late 2025. This agreement will span roughly four years with the first gigawatt ramping in 2H26 and 2027. AMD expects this deployment to generate double digit billion dollars per gigawatt and will initially include a custom MI450 GPU, the Helios rack, and the Venice CPU. We estimate that each gigawatt would translate to \$15 billion for AMD.

Silicon Valley Bus Tour Recap

We met AMD's CFO Jean Hu and CVP Strategy/IR as part of Citi's annual Silicon Valley Bus Tour recently and recap key notes from our meeting below:

- **Server growth.** Inflection of Agentic AI and rise of CPU demand was noticeable last year. AMD articulated the 3 segments of server CPUs at investor day last November and was preparing for a significant ramp. Now AMD is seeing an explosion of demand and is working to expand supply. AMD grew server revenue >50% in Q1. TSMC 3nm has long lead times, but they feel good about 2026 and 2027. They are seeing enterprises adopting agentic AI. AMD is seeing the industry shift towards inference and the shift from chatbot inference towards agentic inference. AMD believes their agentic share could exceed their general server CPU share.
- **ARM vs X86 debate.** AMD wants to build the best server platform for different applications and workloads. Turin has a breadth of 8 cores to 192 cores to support different workloads. General purpose CPU, AI head nodes, and Agentic all have different requirements. Agentic AI is multiple workloads, orchestration, data base retrieval, agent management and more. AMD's investments for more than a decade allows them to address all these workloads. AMD is in every workload for servers besides NVL head nodes. Venice CPU is the head node for Helios. AMD believes Venice will be a leadership performance product and

Venice will have Verano to compete with ARM CPUs. Verano was closely designed with Meta. X86 security features are strong compared to ARMs.

- **Pricing power.** AMD wants to be strategic to manage long-term relationships with customers in the future. They will share memory cost increases with customers. They have good gross margins in servers. 70% to 75% of AMD server growth would predict to be from units. ASP expansion will come from a greater mix of Turin, and higher core count products. Mandate from AMD management isn't on pushing on X86, it's about building the best CPU and having SKUs to target the whole market.
- **Software.** Largest AI frontier companies are using NVDA, AMD, and different ASICs. AMD is seeing Claude code internally to shorten software deployments. AMD believes the CUDA moat will get diminished given the velocity of software. On the CPU side, it's more about the architecture of the platform.
- **Agentic adoption spiked in February.** Model capability increased, and agentic adoption increased when they saw the capability increase. By January of this year, all major hyperscale companies significantly increased their demand on the CPU side. Agentic is happening much faster than AMD expected. Orchestration and execution are all driven by CPUs. 95% of AMD token spending is for software engineering. If AMD believes their customers bottom-up forecast, their \$120bn TAM estimate is too low.
- **Intel competition.** Diamond Rapids doesn't have multithreading and ARM AGI does not have multithreading. AMD's enterprise share shift accelerated rapidly in 1Q and one thesis is because customers know Intel doesn't have 8 channel.
- **Networking.** AMD feels good where they are at as they will rely on partners for scale across. Infinity Fabric will be used for scale up. AMD donated UAL to the industry body. Astera and Marvell will be building ethernet switching technology with AMD. Copper and Optics will coexist for a few generations.
- **AI-driven PC Refresh.** AMD isn't seeing signs yet, but there are different types of tokens that need to be optimized. You can in theory lower your enterprise token budget by running them on a notebook.

Bull/Bear: Advanced Micro Devices (AMD.O)

US\$ **650.00**
▲ 33% Upside

US\$ **575.00**
▲ 18% Upside

US\$ **300.00**
▼ 39% Downside



Spread 72pp
Current Price and expected returns (upside/downside) as of 11 Jun 2026

BULL Assumptions

- Stronger than expected AI GPU ramp
- Better than expected AI GPU margins

BASE Assumptions

- SOTP analysis

BEAR Assumptions

- Aggressive pricing environment with Intel and Nvidia
- AI GPU ramp fails to materialize

Advanced Micro Devices

Company description

AMD is a fabless semiconductor company that specializes in PC and server microprocessors, graphics processing units (GPUs), semi-custom processors, and embedded processors. AMD is the #2 supplier of microprocessors for desktop PCs, notebook PCs, and servers with approximately 30% total market share. Based in Sunnyvale, CA, AMD has roughly 26,000 employees worldwide. AMD derives approximately 80% of revenue from the Data Center and Client segments and 20% of revenue from the Embedded and Gaming segments. AMD's largest customers include gaming console vendors, PC OEMs, hyperscalers, and notebook ODMs. AMD competes with Intel in the microprocessor segment and NVIDIA in the AI GPU segment. As a fabless semiconductor company, AMD outsources its wafer fabrication to third party foundries. The company has internal back-end assembly and test operations in Malaysia and China.

Investment strategy

We are Buy rated on AMD given increasing conviction on AMD's AI business and server CPU tailwinds. Namely, we believe Meta will be a significantly larger customer of AMD's AI products than the street is expecting.

Valuation

Our TP on AMD is \$575. We value AMD using SOTP analysis with data center GPU/CPU biz at \$281/\$204 (35/30x 2028 PE), client \$30 (15x), gaming \$2 (8x), embedded \$24 (20x), and net cash per share ~\$35. Our target PE multiples are in-line with respective peer group averages.

Risks

Competition: AMD competes directly with Intel in the microprocessor market. Consequently, any fluctuations in market share between AMD and Intel could result in risk to our estimates. AMD competes directly with NVIDIA in the graphics and AI GPU market. Consequently, any fluctuations in market share between AMD and NVIDIA could result in risk to our estimates.

PC End Market: AMD derives roughly 30% of sales from the PC industry, which is highly dependent on IT spending. Therefore, any major uptick/downtick in IT spending could result in upside/downside to our estimates and rating for AMD.

Customer Risk: AMD derives roughly 15% of revenue from Sony and Microsoft. As a result, any major increases/decreases in orders from Sony or Microsoft could have a positive/negative effect on our estimates for AMD.

Valuation: While AMD is currently trading slightly above its historical range, revisions to consensus revenue estimates could result in high volatility to AMD stock.

Tender Offer: Any public or private tender offer for all or part of AMD's business could drive the stock higher and cause us to re-assess our rating.

If the impact on the company from any of these factors proves to be greater than we anticipate, the stock will likely have difficulty achieving our target price. However, should they be less than anticipated, the stock could trade above our target price.

Arm Holdings PLC

(ARM.O; US\$342.23; 1; 11 Jun 26; 16:00)

Valuation

Given the integration of AGI CPU revenue and profit which is very backend loaded, we think therefore investors should take FY31 profit forecast and discount it to FY28. We think this approach better captures the long-term exposure to artificial intelligence, semiconductor capex and other structural growth areas. We value the stock on FY31 EPS of \$10.7 at 37x PE and discount it back to 2028 to derive our TP of \$300. Our target 37x PE reflects ~1x PEG ratio which we think is justified based on our FY26-31E earnings CAGR of 45%; other growth stocks are valued on higher PEG stocks, but given Arm's recent change in business model, we think a lower PEG is justified for now.

Risks

ARM is High Risk based upon our quantitative model but assigning a High Risk rating is not supported by qualitative factors such as the fact that it is a well-established company that the company has been already trading prior to 2016, and so a High Risk rating has not been applied.

We highlight the following downside risks factors for ARM. If the impact of these risk factors is more or less negative than we anticipate, the share price could deviate significantly from our target price:

Rate of cyclical recovery: We currently forecast Arm to begin to see some cyclical recovery in F3Q24 (C4Q23), in line with Citi's forecasts for its main production partner TSMC. If this recovery is delayed, it could result in revenue below our expectations for FY24.

Technological: Challenges in pushing royalty rates upwards, given lower technological benefit or if customers don't adopt the latest technology, could result in lower revenue growth and lower margins.

Competition: A gain/loss in chip design market share would result in upside/downside risk to our estimates. We view the primary competitive risk to come from RISC-V, which is a free open-source instruction set architecture targeted at the microcontroller market.

Concentration of Ownership: Softbank currently holds ~90% of Arm shares, which may be an overhang for the stock given the potential for future stock sales following the post-IPO lock-up agreement.

Customer Risk: ARM derives significant share of its revenues from three largest customers, and an increase/cut in their chip volumes could result in risk to our estimates. In particular, Arm China is Arm's biggest customer (24% of FY23 sales).

Macroeconomic: A weak macroeconomic environment and/or escalation in geopolitical tensions resulting in subdued semiconductor growth/increase in cadence could cause downside to our estimates.

Intel Corp

(INTC.O; US\$116.96; 1; 11 Jun 26; 16:00)

Valuation

We value INTC based on our SOTP valuation, our price target is \$130. We apply a SOTP valuation framework to each of Intel's reportable segments and to highlight our growth expectations for Intel Foundry.

Risks

PC end-market: Intel derives roughly 90% of sales from the PC and server segments, which are highly dependent on IT spending. Therefore, any major uptick/downtick in IT spending could result in upside/downside to our estimates and cause us to reassess our rating on INTC.

M&A: If Intel engages in a substantial accretive acquisition, it could result in upside to our estimates.

Competition: Intel competes directly with AMD in the microprocessor market. Consequently, any fluctuations in market share between Intel and AMD could result in risk to our estimates.

Customer risk: Intel's largest PC OEM customers collectively represent roughly 45% Intel's revenue. As a result, any major declines in orders from PC OEMs could have a negative effect on our estimates for Intel.

Macroeconomic: Intel's geographic exposure spans multiple geographies including the U.S., Europe, and Asia. As a result, any prolonged macroeconomic downturn/upturn could result in downside/upside to our estimates and rating.

If the impact from the above risks turns out to be greater/less than we anticipate, the shares could fail to achieve or could exceed our target price.

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Appendix A-1

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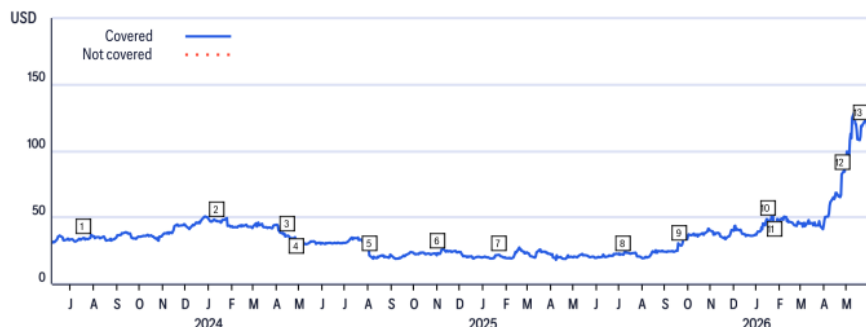
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IMPORTANT DISCLOSURES

Intel Corp (INTC)

Ratings and Target Price History Fundamental Research

Analyst: Atif Malik



	Date	Rating	Target Price	Closing Price
1	17-Jul-23 07:11:15	2	*34.00	34.37
2	12-Jan-24 06:06:09	2	*47.50	47.12
3	15-Apr-24 06:04:21	2	*40.00	36.31
4	26-Apr-24 03:00:00	2	*35.00	31.88
5	02-Aug-24 08:05:49	2	*25.00	21.48

	Date	Rating	Target Price	Closing Price
6	01-Nov-24 03:17:08	2	*22.00	23.20
7	21-Jan-25 03:00:00	2	*21.00	21.77
8	07-Jul-25 03:00:00	2	*24.00	22.00
9	19-Sep-25 02:10:39	*3	*29.00	29.58
10	15-Jan-26 07:24:43	*2	*50.00	48.32

	Date	Rating	Target Price	Closing Price
11	23-Jan-26 01:48:19	2	*48.00	45.07
12	24-Apr-26 06:29:21	*1	*95.00	82.54
13	18-May-26 05:00:00	1	*130.00	108.17

*Indicates Change

Rating/target price changes above reflect Eastern Time

Arm Holdings PLC (ARM)

Ratings and Target Price History Fundamental Research

Analyst: Andrew M. Gardiner, CFA



	Date	Rating	Target Price	Closing Price
1	09-Oct-23 00:05:06	*1	*65.00	54.25
2	15-Dec-23 00:00:00	1	*78.00	71.03
3	22-Jan-24 00:00:00	1	*86.00	77.11
4	08-Feb-24 04:02:05	1	*115.00	113.89

	Date	Rating	Target Price	Closing Price
5	12-Apr-24 00:00:00	1	*150.00	126.33
6	31-Jul-24 23:41:57	1	*170.00	144.17
7	06-Feb-25 00:00:00	1	*200.00	167.47
8	08-May-25 00:00:00	1	*170.00	116.52

	Date	Rating	Target Price	Closing Price
9	31-Jul-25 07:21:06	1	*190.00	141.38
10	06-Nov-25 00:00:00	1	*200.00	158.25
11	05-Feb-26 00:00:53	1	*190.00	110.88
12	07-May-26 08:28:34	1	*300.00	213.31

*Indicates Change

Rating/target price changes above reflect Eastern Time

Advanced Micro Devices (AMD)

Ratings and Target Price History Fundamental Research

Analyst: Atif Malik



	Date	Rating	Target Price	Closing Price
1	02-Aug-23 04:50:17	*1	*136.00	109.35
2	31-Jan-24 03:00:00	1	*192.00	167.69
3	01-May-24 05:07:40	1	*176.00	144.27
4	15-Jul-24 07:16:26	1	*210.00	179.83
5	30-Oct-24 04:49:33	1	*200.00	148.60
6	21-Jan-25 03:00:00	1	*175.00	122.28

	Date	Rating	Target Price	Closing Price
7	05-Feb-25 07:46:48	*2	*110.00	112.01
8	11-Apr-25 07:12:27	2	*100.00	93.40
9	09-Jun-25 03:00:00	2	*120.00	121.73
10	07-Jul-25 03:00:00	2	*145.00	134.80
11	18-Jul-25 03:00:00	2	*165.00	156.99
12	06-Aug-25 07:19:56	2	*180.00	163.12

	Date	Rating	Target Price	Closing Price
13	06-Oct-25 17:23:35	2	*215.00	203.71
14	05-Nov-25 03:00:00	2	*260.00	256.33
15	06-Apr-26 05:42:25	2	*248.00	220.18
16	06-May-26 06:35:26	2	*358.00	421.39
17	18-May-26 05:00:00	2	*460.00	420.99

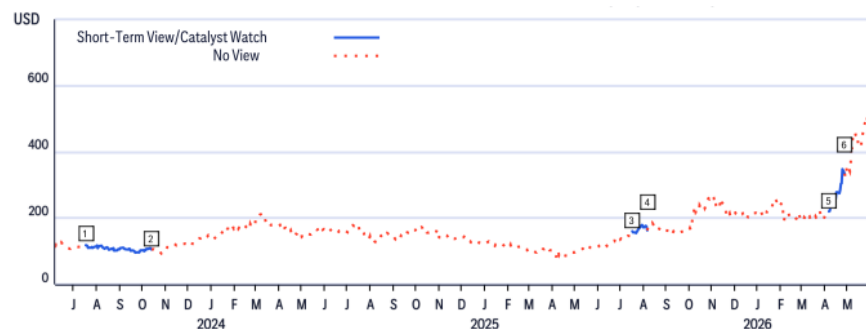
*Indicates Change

Rating/target price changes above reflect Eastern Time

Advanced Micro Devices (AMD)

Short-Term View/Catalyst Watch Research

Analyst: Atif Malik



	Date	Action	Expected Direction	Duration	Closing Price
1	17-Jul-23 03:11:15	Add CW	Downside	90 Days	118.32
2	15-Oct-23 12:06:49	Remove CW	Downside	90 Days	105.09

	Date	Action	Expected Direction	Duration	Closing Price
3	17-Jul-25 23:00:00	Add STV	Upside	30 Days	160.41
4	06-Aug-25 03:19:56	Remove STV	Upside	30 Days	163.12

	Date	Action	Expected Direction	Duration	Closing Price
5	06-Apr-26 01:42:25	Add CW	Upside	30 Days	220.18
6	27-Apr-26 02:46:18	Remove CW	Upside	30 Days	334.63

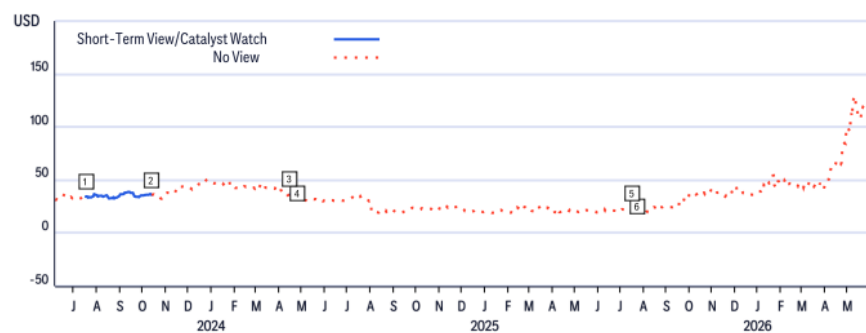
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Intel Corp (INTC)

Short-Term View/Catalyst Watch Research

Analyst: Atif Malik



	Date	Action	Expected Direction	Duration	Closing Price
1	17-Jul-23 03:11:15	Add CW	Upside	90 Days	34.37
2	15-Oct-23 12:07:05	Remove CW	Upside	90 Days	35.97

	Date	Action	Expected Direction	Duration	Closing Price
3	15-Apr-24 02:04:21	Add CW	Upside	30 Days	36.31
4	25-Apr-24 23:00:00	Remove CW	Upside	30 Days	35.11

	Date	Action	Expected Direction	Duration	Closing Price
5	17-Jul-25 23:00:00	Add STV	Upside	30 Days	22.80
6	24-Jul-25 23:00:00	Remove STV	Upside	30 Days	22.63

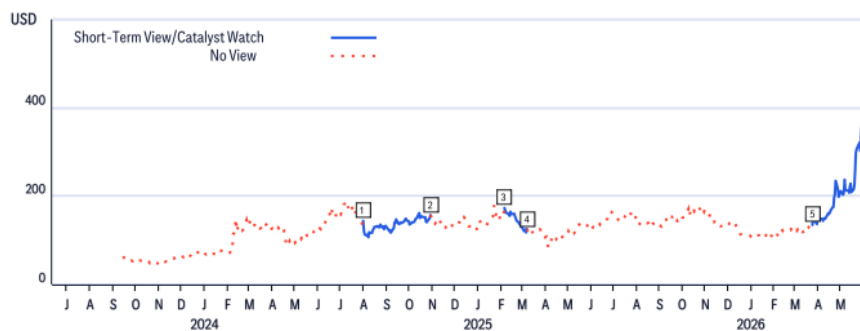
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Arm Holdings PLC (ARM)

Short-Term View/Catalyst Watch Research

Analyst: Andrew M. Gardiner, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	31-Jul-24 19:41:57	Add STV	Upside	90 Days	144.17
2	29-Oct-24 12:28:22	Remove STV	Upside	90 Days	157.17
3	05-Feb-25 19:00:00	Add STV	Upside	30 Days	173.26
4	07-Mar-25 12:14:47	Remove STV	Upside	30 Days	125.55
5	24-Mar-26 20:02:29	Add STV	Upside	90 Days	134.96

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Citigroup Global Markets Inc.

James Bowlin; Atif Malik; Kelsey Chia, CFA

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